

Candlesticks & Market Terminology

Every major candlestick type and a complete glossary of essential trading terms.

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The language of trading is built on candlestick patterns and market terminology. Knowing what each pattern signals — and what every term means — is the foundation of communicating about and understanding price action.

Hammer

A candle with a small body near the top and a long lower wick. Signals that sellers pushed price down but buyers stepped in aggressively and pushed it back up. Bullish reversal signal when found at support after a downtrend.

Shooting Star

A candle with a small body near the bottom and a long upper wick. Signals that buyers pushed price up but sellers overwhelmed them and pushed it back down. Bearish reversal signal when found at resistance after an uptrend.

Doji

A candle where the open and close are nearly identical, creating a very small body. Signals indecision between buyers and sellers. A doji after a strong trend can signal a reversal, especially when combined with volume.

Bullish Engulfing

A large green candle that completely engulfs the prior red candle. Signals a strong shift from sellers to buyers. One of the most reliable reversal patterns when found at a key support level.

Bearish Engulfing

A large red candle that completely engulfs the prior green candle. Signals a strong shift from buyers to sellers. Reliable reversal signal at key resistance.

→ Float: the number of shares available for public trading. Low float = more volatile.

EDUCATION

→ Short interest: the percentage of the float sold short. High short interest = squeeze potential.

→ RVOL: relative volume. How much volume today versus the average. 2x RVOL = twice normal activity.

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- PDT rule: pattern day trader rule. Requires \$25,000 minimum to make more than 3 day trades per week in a margin account.
- Gap: when a stock opens significantly above or below the prior close.
- Bid/Ask spread: the difference between the price buyers will pay and sellers will accept.
- Market maker: a firm that provides liquidity by always being willing to buy and sell.